MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) – MG4DSEECO202 – INSURANCE AND MARKETING

(2024 ADMISSION ONWARDS)

SCHEME OF VALUATION

Duration: 2 Hours Maximum Marks: 70

Part A

Multiple Choice Questions – Answer all questions. Each question carries 1 mark. [1×10 = 10]

1. c). Death or survival

2. d). Customized portfolio policies

3. c)Health and Medical History

4.b). Building trust in an intangible promise

5. c). Simple to complex

6. b). Motor Vehicles Act, 1988

7. b). Measuring frequency and severity of risk

8. b). Legally appointed representatives of an insurance company

9. b). Discovery & Needs Analysis

10. c). Fast and simple

Part B

Short Answer Questions – Answer any 10 questions. Each question carries 3 marks. [3×10 = 30]

11. Insurance motivates policyholders to adopt risk-reducing measures (e.g., fire alarms, health checkups) since better safety records can reduce premiums through mechanisms like the No Claim Bonus. (1.5 Marks). Insurers conduct risk surveys and issue safety guidelines to policyholders, acting as a preventive mechanism beyond mere compensation. (1.5 Marks)

12.IRDAI was established under the IRDA Act, 1999, based on the Malhotra Committee recommendations (1993) which called for an independent regulatory body. (1 Mark). It replaced the Controller of Insurance and opened the sector to private and foreign companies (as JVs), ending LIC's monopoly. (1 Mark). Headquartered in Hyderabad, IRDAI regulates and develops the insurance industry while protecting policyholders' interests. (1 Mark)

13. Any three of the following (1 mark each):

1. Measurability – The size and purchasing power of the segment can be measured.
2. Accessibility – The segment can be effectively reached and served through marketing channels.

3. Substantiality – The segment is large and profitable enough to justify serving.
4. Actionability – Effective programs can be designed to attract and serve the segment.

14. Insurance is a promise, not a physical product. The customer pays today for future compensation they may never need — trust is what makes that promise credible. (1.5 Marks). Without confidence in the insurer's reliability, claim settlement record, and financial strength, no customer will buy a policy. Trust is therefore the core of the insurance relationship. (1.5 Marks)

15. Secondary social groups are larger, more impersonal groups where relationships are formal, indirect, and goal-oriented (e.g., trade unions, professional associations, employer organizations). (1.5 Marks). In insurance, secondary groups influence buying behaviour through shared experiences, word-of-mouth recommendations, and group insurance schemes offered via employers or professional bodies. (1.5 Marks)

16. Data collection is the systematic process of gathering relevant information from identified sources to address a research question or business problem. (1.5 Marks). It involves primary methods (surveys, interviews, observation) and secondary methods (IRDAI reports, census data) to study consumer behaviour, risk profiles, and market trends. (1.5 Marks)

17. Values like financial security for dependents, responsibility, and long-term planning strongly drive life and health insurance purchases. (1.5 Marks). Joint families may prefer group or family floater plans, while nuclear families prioritize individual term and health policies tailored to specific financial goals. (1.5 Marks)

18. The individual agency system involves licensed agents who exclusively represent a single insurance company and sell its products on its behalf, acting as appointed intermediaries. (1.5 Marks). Agents earn commissions on premiums collected and are responsible for prospecting, advising clients, and post-sale servicing. It is the most traditional and widespread distribution channel in India. (1.5 Marks)

19. Underwriting is the process by which an insurance company evaluates an applicant's risk profile to decide whether to accept the proposal and at what premium rate. (1.5 Marks). It involves assessing factors like age, health status, occupation, habits, and lifestyle to classify the applicant as a standard, substandard, or preferred risk. (1.5 Marks)

20. Online aggregators are digital platforms (e.g., Policybazaar, Coverfox) that allow consumers to compare insurance products from multiple companies based on premium, features, and coverage in one place. (1.5 Marks). They simplify the buying process, promote price transparency, and empower customers to make informed choices without visiting individual insurers. (1.5 Marks)

21. Sales promotion refers to short-term incentives designed to stimulate the purchase or renewal of insurance policies, such as premium discounts, bonus covers, free riders, or loyalty rewards. (1.5 Marks). Referral bonuses for agents, premium waiver offers, NCB (No Claim Bonus) discounts, and targeted campaigns for women, senior citizens, or rural segments. (1.5 Marks)

22. Post-sale service refers to all activities by the insurer after the policy is issued, aimed at maintaining customer satisfaction, trust, and long-term retention. (1.5 Marks). Policy servicing (address/nominee changes), renewal reminders, claim assistance, grievance redressal, and periodic policy reviews to match the customer's evolving needs. (1.5 Marks)

23. Digital marketing in insurance refers to the use of online channels — social media, email, search engines, websites, and apps — to promote insurance products and acquire customers. (1.5 Marks). It enables targeted, data-driven campaigns, reduces customer acquisition cost, allows real-time engagement, and helps reach tech-savvy younger demographics. (1.5 Marks)

Part C

Short Essay Questions – Answer any 5 questions. Each question carries 6 marks. [6×5 = 30]

24. IRDAI frames and enforces regulations on licensing, solvency margins, product approvals, and agent conduct — ensuring the financial soundness of insurers and protecting policyholders from malpractice (2 Marks). By opening the market to private and foreign players (as JVs post-1999), IRDAI fostered competition, product innovation (ULIPs, micro-insurance, health insurance), and improved overall service quality (2 Marks). IRDAI mandates grievance redressal mechanisms, regulates claim settlement timelines, and runs public awareness campaigns — building trust and confidence in the insurance sector (2 Marks).

25. In insurance, the product is an intangible policy — a promise of future compensation. Trust and clarity are built through transparently worded policy documents with clear benefits, exclusions, and claim procedures. Relevant riders and add-on cover that address specific needs make the product more meaningful and accessible to diverse customer segments (3 Marks). Pricing must be perceived as equitable to build trust. Competitive and fair premiums, flexible payment modes (monthly, quarterly, annual), and discount mechanisms like NCB (No Claim Bonus) make insurance financially accessible. Transparent premium calculation — explaining how age, health, and coverage affect cost — reassures customers and reinforces confidence in the insurer (3 Marks).

26. Any 4 of the following (1.5 marks each):

- Consumer Research: Studying policyholder behaviour, needs, preferences, and satisfaction levels to design better products and target communication effectively.
- Product Research: Identifying gaps in existing insurance offerings and developing new products for emerging risks (e.g., cyber insurance, parametric insurance).
- Market Analysis: Assessing market size, growth trends, competitive landscape, and the impact of regulatory changes to inform strategic planning.
- Distribution Research: Evaluating the performance of different channels (agents, bancassurance, online aggregators, direct sales) to optimize reach and reduce costs.
- Advertising Research: Measuring the effectiveness of promotional campaigns and identifying the most impactful communication strategies for target segments.

27. A ULIP (Unit Linked Insurance Plan) is a hybrid financial product that combines life insurance protection with market-linked investment, regulated by IRDAI with a mandatory 5-year lock-in period (Definition :2 Marks)

Key Features (1 mark each, any 4):

- Dual Benefit: Provides both a death benefit (life cover) and returns from market-linked fund performance.
- Fund Choice: Policyholders choose from equity, debt, or balanced funds based on their risk appetite, and can switch between funds.

- Transparency: NAV (Net Asset Value) is declared daily; all charges (mortality, admin, fund management) are disclosed upfront.
- Flexibility: Allows partial withdrawals, top-up premiums, and fund switching after the 5-year lock-in period.
- Tax Benefits: Premiums qualify for deduction under Section 80C; maturity proceeds are exempt under Section 10(10D) of the Income Tax Act.

28. Underwriting guidelines are a standardized set of rules and criteria established by an insurance company to ensure consistency, fairness, and discipline in risk assessment and policy acceptance decisions across all applicants (Definition :2 Marks).

Key Guidelines Include:

- Age and health limits for acceptance of proposals.
- Premium loading (extra charge) for substandard or high-risk individuals.
- Mandatory medical examinations above specified sum assured thresholds.
- Exclusions for pre-existing medical conditions.

Importance (4 Marks):

- Consistency: Ensures all applicants are evaluated on uniform parameters, preventing bias or arbitrary decisions.
- Prevents Adverse Selection: Stops only high-risk individuals from purchasing coverage, protecting the insurer's risk pool.
- Financial Solvency: Avoids excessive risk concentration that could threaten the insurer's ability to pay claims.
- Policyholder Protection: Sustainable underwriting keeps premiums viable and ensures long-term claim-paying capacity.

29. Digital Advertising (2 Marks): Social media platforms (Facebook, Instagram, YouTube) and search engines enable targeted ads based on demographics, browsing behaviour, and interests allowing insurers to reach the right customer at the right time with cost efficiency.

AI and Data Analytics (2 Marks): AI-powered tools analyse customer data to personalize promotional messages, predict purchase intent, and optimize campaign performance, significantly improving conversion rates.

Chatbots and Automation (1 Mark): Chatbots provide 24/7 engagement during promotional campaigns, instantly answering customer queries and guiding prospects through the purchase journey without human intervention.

Content and Video Marketing (1 Mark): Explainer videos, infographics, blogs, and webinars simplify complex insurance concepts, educate potential buyers, and build long-term brand trust online.

30. Pre-Independence Era (2 Marks): Life insurance began in 1818 with the Oriental Life Insurance Company, primarily serving Europeans. Indian lives were charged higher premiums. The Bombay Mutual Life Assurance Society (1870) was the first Indian-owned company to insure Indian lives at standard rates. The Insurance Act of 1938 introduced basic regulatory oversight.

Post-Independence & Nationalization (2 Marks): LIC was established in 1956 by nationalizing all private life insurers, creating a state monopoly focused on spreading insurance awareness

to rural India and channelling savings into national development. General Insurance Corporation (GIC) was formed in 1972 for non-life insurance.

Liberalization & Modern Era (2 Marks): The Malhotra Committee (1993) recommended sweeping reforms; IRDAI was established in 1999, ending state monopolies and allowing private and foreign players (as joint ventures). This triggered product innovation, improved service quality, and rapid premium growth. Digital channels and InsurTech (AI, big data, mobile apps) have further transformed the industry in the 21st century.